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# Introduction to Economics

Class 2 — Chapter 1: How economists think

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Universitat de Barcelona · Group A6

17 September 2026

## Quiz first

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- Answers on the **answer sheet** only — same version number as your question page
- **Graded** — full name on the answer sheet, clearly
- Hand in the answer sheet by **10:12**; keep the question page

**ANSWERS · RESPUESTAS**

Version — circle yours  
Versión — rodea la tuya

|               |    |    |    |    |    |    |    |    |    |    |    |
|---------------|----|----|----|----|----|----|----|----|----|----|----|
| Name · Nombre |    |    |    |    |    |    |    |    |    |    |    |
| 1             | 2  | 3  | 4  | 5  | 6  | 7  | 8  | 9  | 10 | 11 | 12 |
| 13            | 14 | 15 | 16 | 17 | 18 | 19 | 20 | 21 | 22 | 23 | 24 |
| 1             |    | 2  |    | 3  |    | 4  |    | 5  |    | 6  |    |

Circle your version number on the answer sheet like this. Twelve questions on section 1.1, twelve minutes; counts toward the in-class quiz mark.

## Now in pairs

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- Agree on **one answer** per question
- Mark the **two** you are least sure of
- The strips are already collected — no changes

## The quiz in numbers

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18

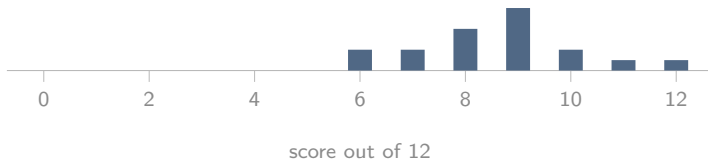
answer strips

8.6

mean · out of 12

9

median · out of 12



## Economic activity

---

The level of economic activity in a country is measured by...

**A)** how much buying and selling takes place



**B)** how many firms are registered in the country



**C)** the value of the goods the country sells abroad



**D)** the size of the government's budget



Blank or illegible: 0 (0 %) · 1 of 12

## Economic activity

---

The level of economic activity in a country is measured by...

**A)** how much buying and selling takes place



78 % (14)

**B)** how many firms are registered in the country



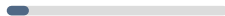
6 % (1)

**C)** the value of the goods the country sells abroad



11 % (2)

**D)** the size of the government's budget



6 % (1)

Blank or illegible: 0 (0 %) · 1 of 12

## Who supplies the inputs

---

### Who supplies the land, labour and capital that firms use?

**A)** firms themselves, which own the equipment they use

 33 % (6)

**B)** households, the individuals in the economy

 33 % (6)

**C)** banks, which lend the money to buy them

 6 % (1)

**D)** the government, out of the taxes it collects

 22 % (4)

Blank or illegible: 1 (6 %) · 2 of 12

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## What a firm does

---

In the chapter, a “firm” is an organization that...

**A)** buys land, labour and capital and produces goods and services



**B)** supplies land, labour and capital and buys goods for final use



**C)** decides what a country produces and who receives it



**D)** brings buyers and sellers together so that exchange can happen



Blank or illegible: 0 (0 %) · 3 of 12

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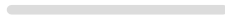
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**B)** supplies land, labour and capital and buys goods for final use



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22 % (4)

Blank or illegible: 0 (0 %) · 3 of 12

## The oven

---

### A bakery's oven is an example of which resource?

**A)** land, because the oven is fixed in one place

 0 % (0)

**B)** labour, because the oven does work a baker would do

 6 % (1)

**C)** capital, because the bakery uses it to make other goods

 83 % (15)

**D)** a consumer good, because families buy ovens too

 11 % (2)

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# Land

---

## Which of these counts as “land” in economics?

**A)** a tractor working in a field

0 % (0)

**B)** a farmer's knowledge of the soil

17 % (3)

**C)** the oil under the North Sea

28 % (5)

**D)** a bank's office building

56 % (10)

Blank or illegible: 0 (0 %) · 5 of 12

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# Scarcity

---

“Scarcity” means that...

**A)** society has limited resources and cannot meet every demand

94 % (17)

**B)** society must decide who gets the goods that are produced

0 % (0)

**C)** a resource runs out when it is used too quickly

6 % (1)

**D)** some households cannot afford food and shelter

0 % (0)

Blank or illegible: 0 (0 %) · 6 of 12

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## Need or want

---

**In the chapter's sense, which of these is a need rather than a want?**

**A)** furniture for the flat you live in

 0 % (0)

**B)** drinking water

 94 % (17)

**C)** this season's style of coat

 6 % (1)

**D)** a smartphone to keep in touch with family

 0 % (0)

Blank or illegible: 0 (0 %) · 7 of 12

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## What economics studies

---

According to the textbook, economics is the study of how society...

**A)** manages its scarce resources



**B)** makes its firms as profitable as possible



**C)** helps people and firms become wealthier



**D)** sets the prices of goods and services in markets



Blank or illegible: 0 (0 %) · 8 of 12

## What economics studies

---

According to the textbook, economics is the study of how society...

**A)** manages its scarce resources



67 % (12)

**B)** makes its firms as profitable as possible



0 % (0)

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**D)** sets the prices of goods and services in markets



28 % (5)

Blank or illegible: 0 (0 %) · 8 of 12

## Unpaid care work

---

Someone looks after an elderly relative at home without pay. According to the chapter, does economics study this work?

**A)** yes — output produced without any income also counts



**B)** yes, but only if the carer receives a benefit for it



**C)** no — with no money paid, there is nothing to measure



**D)** no — that work belongs to sociology rather than economics



Blank or illegible: 0 (0 %) · 9 of 12

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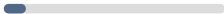
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Blank or illegible: 0 (0 %) · 9 of 12

## Unemployment in Spain

---

In Spain, many people who want a job cannot find one. According to the chapter, what is scarce in this situation?

**A)** labour, because so many people are out of work

 11 % (2)

**B)** job vacancies, because there are not enough jobs to go round

 67 % (12)

**C)** money, because firms cannot afford to hire

 22 % (4)

**D)** skills, because workers lack the training firms need

 0 % (0)

Blank or illegible: 0 (0 %) · 10 of 12

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## Economics and other fields

---

### According to the chapter, economics. . .

**A)** draws on psychology, sociology, law and maths, among other fields

94 % (17)

**B)** is a branch of mathematics

6 % (1)

**C)** studies only decisions that involve money

0 % (0)

**D)** stands apart from the other social sciences

0 % (0)

Blank or illegible: 0 (0 %) · 11 of 12

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## Opportunity cost of this class

---

You skip a two-hour shift that pays €20 to come to this class. You already have a monthly transport pass. The opportunity cost of attending is...

**A)** €20, the wage you gave up



**B)** €20 plus the share of your tuition fees for this class



**C)** €20 plus the price of the transport pass



**D)** nothing, because the class is already paid for



Blank or illegible: 0 (0 %) · 12 of 12

## Opportunity cost of this class

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You skip a two-hour shift that pays €20 to come to this class. You already have a monthly transport pass. The opportunity cost of attending is...

**A)** €20, the wage you gave up



61 % (11)

**B)** €20 plus the share of your tuition fees for this class



22 % (4)

**C)** €20 plus the price of the transport pass



6 % (1)

**D)** nothing, because the class is already paid for



11 % (2)

Blank or illegible: 0 (0 %) · 12 of 12

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# Break

Ten minutes

## Materials, and next week

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- Materials: [pkocourek.com/teaching/intro-economics](https://pkocourek.com/teaching/intro-economics)
- No class next week · back Monday 28 September and Thursday 1 October

## Plan for today

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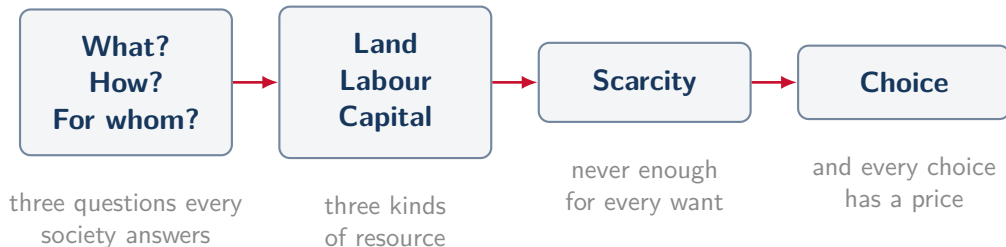
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|       |                                              |
|-------|----------------------------------------------|
| 10:00 | Quiz — section 1.1, on paper                 |
| 10:12 | In pairs, then the quiz question by question |
| 11:00 | Break                                        |
| 11:10 | How people make decisions                    |
| 11:30 | How people interact                          |
| 11:50 | The economy as a whole (if time)             |
| 11:57 | Before 28 September                          |

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## Monday in one line: wants exceed resources, so we choose

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**Economics:** how people, firms and societies handle that choice.



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# How people make decisions

Trade-offs, opportunity cost, the margin, incentives

## Every choice closes a door

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- You: an hour of study, or an hour of work
- The city: a metro line, or public housing
- Society: cleaner air, or cheaper production
- Policy: a bigger cake, or fairer slices

**Efficiency** vs **equity**. Seeing the **trade-off** shows the price; it does not choose.

# The biggest cost of your degree is the wage you are not earning

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## Counts

- The job you would have had
- Fees not yet paid
- Extra rent — only the extra

## Does not count

- Food you would eat anyway
- Money already spent and gone — **sunk**

**Opportunity cost:** the best alternative given up — Monday's Question 7.

## Thinking at the margin

---

**A coach to Girona: 50 seats, 30 sold, leaving in ten minutes. The trip costs the company €400 whether 30 or 31 people ride. A student offers €5 for a seat. Take it?**

**A)** No — €400 over 50 seats is €8 a seat; €5 is below cost

**B)** Yes — one more rider costs almost nothing

**C)** Only if the other 19 seats sell too

**D)** No — unfair to those who paid full price

## Thinking at the margin

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Compare the *extra* benefit with the *extra* cost — not the average.

## Fifteen cents cut plastic-bag use by more than ninety per cent

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**Ireland, 2002: 15 cents a bag, paid at the till**

**Spain, 2018: no more free bags**

Change the price, and behaviour follows — people respond to **incentives**.

Convery, McDonnell & Ferreira (2007), *Environmental and Resource Economics*.

## A fine turned lateness into a purchase

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### Day-care centres, Haifa: a small fine for late pick-ups

**Late pick-ups went up — and stayed up**

Incentives always work. Not always the way you planned.

Gneezy & Rustichini (2000), "A Fine Is a Price", *Journal of Legal Studies*.

## Should UB pay you to go to the gym?

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Two minutes, in pairs:

- Would you go more often?
- Who might go *less*?
- What else could the same money buy?

Gneezy, Meier & Rey-Biel (2011), *Journal of Economic Perspectives*.



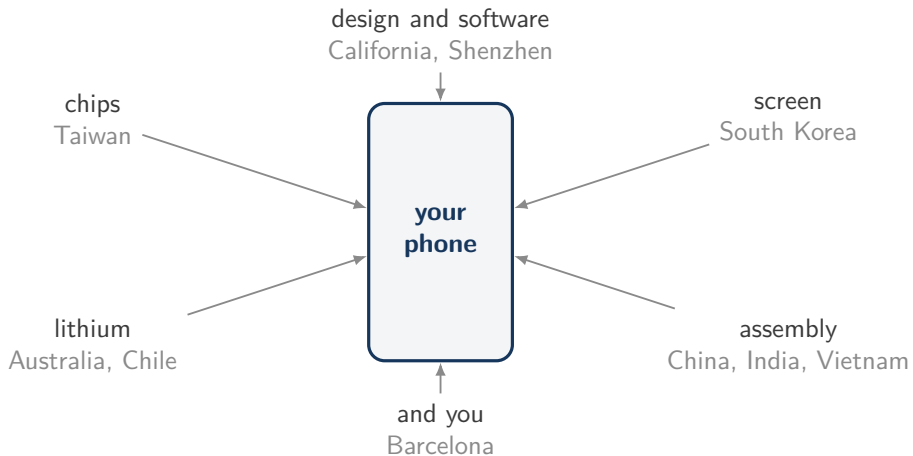
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# How people interact

Trade, economic systems, markets

# Nobody in this room could make a phone alone

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Each part made where it is made best; **trade** puts them together.

## Planners, prices, or both — Spain chooses both

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| Planned                  | Market                            | Mixed                                        |
|--------------------------|-----------------------------------|----------------------------------------------|
| Central planners decide  | Prices and private choices decide | Both, in different sectors                   |
| Soviet Union, until 1991 | no country fully                  | Spain: public hospitals, private restaurants |

---

An **economic system** is simply who answers the three questions.

## Dinner comes from self-interest, not from kindness

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*“It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own interest.”*

Adam Smith, *The Wealth of Nations*, 1776

Nobody plans Barcelona's bread — the **invisible hand**.

## Three cases where the market's answer is not the best one

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|                     |                                                              |
|---------------------|--------------------------------------------------------------|
| <b>Externality</b>  | Traffic noise in the Eixample; crowds at the Sagrada Família |
| <b>Market power</b> | One water company, one price                                 |
| <b>Equity</b>       | Markets reward; they do not share                            |

A government *can* do better in these cases. Whether it *will* is another question.

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# The economy as a whole

Micro and macro, productivity, money

# Micro looks at one market; macro at all of them at once

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## Micro

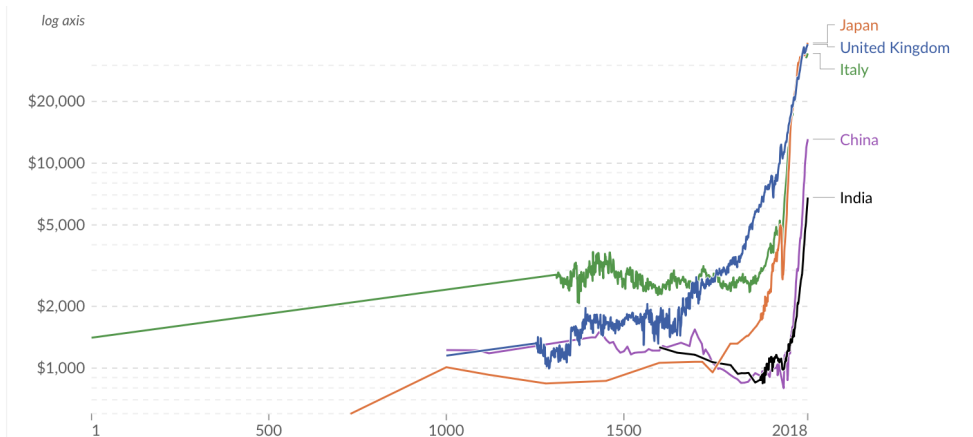
- A room for rent in Gràcia
- A bakery in Sants
- A charge on cars entering the centre

## Macro

- Unemployment in Spain
- Prices rising everywhere at once
- Why some countries grow faster

Same economy, two lenses.

# Incomes rose where output per worker rose



**GDP per person** is what a country makes, divided by its people. **Productivity** is the lever.

Real GDP per person, log scale, 1–2018. CORE, *The Economy*; Maddison Project Database.



## Zimbabwe printed a hundred-trillion-dollar note in 2009

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More money, the same goods

⇒ **every note buys less**

Germany 1923 · Zimbabwe 2008–09 · Venezuela 2018

**Inflation:** prices rising across the board. In every hyperinflation, the printing press ran first.

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# Practice

Five problems, in pairs — three minutes each

## Problem 1 — What did the year cost?

---

Marta leaves a job paying €1,200 a month to study for a year. Fees €1,100, books €300. She lives with her parents either way, and would buy the €600 metro pass anyway. Opportunity cost of the year?

A) €1,400

B) €14,400

C) €15,800

D) €16,400

## Problem 1 — What did the year cost?

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Marta leaves a job paying €1,200 a month to study for a year. Fees €1,100, books €300. She lives with her parents either way, and would buy the €600 metro pass anyway. Opportunity cost of the year?

A) €1,400

B) €14,400

C) €15,800 ✓

D) €16,400

Wages forgone €14,400 + fees €1,100 + books €300. Home and metro: the same either way.

## Problem 2 — The ticket is bought

---

**A non-refundable €40 ticket for tonight's concert. It is pouring, and a night on the sofa suddenly sounds good. What should count in the decision?**

- A)** The €40 — you paid, so you go
- B)** Only tonight: the concert, or the sofa
- C)** The €40 plus the metro fare
- D)** Nothing — flip a coin

## Problem 2 — The ticket is bought

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**A non-refundable €40 ticket for tonight's concert. It is pouring, and a night on the sofa suddenly sounds good. What should count in the decision?**

**A)** The €40 — you paid, so you go

**B) Only tonight: the concert, or the sofa**



**C)** The €40 plus the metro fare

**D)** Nothing — flip a coin

The €40 is sunk: gone whichever you choose. Only the extra costs and benefits from here matter.

### Problem 3 — A bounty on rats

---

**To get rid of rats, a city pays a reward for every rat tail handed in. After a few months you would expect...**

- A)** far fewer rats
- B)** tail-less rats, and rat farms in the suburbs
- C)** no change — people do not chase rats for money
- D)** cats out of work

### Problem 3 — A bounty on rats

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**B) tail-less rats, and rat farms in the suburbs ✓**

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D) cats out of work

Hanoi, 1902. It happened. The reward was for tails, so tails were what people produced.



## Problem 4 — Micro or macro?

---

**Three of these are microeconomic questions. Which is the macroeconomic one?**

- A)** Why did rents in Gràcia rise this year?
- B)** Should cars pay to enter the Eixample?
- C)** Why is unemployment in Spain so high?
- D)** How many croissants should a bakery in Sants bake?

## Problem 4 — Micro or macro?

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Three of these are microeconomic questions. Which is the macroeconomic one?

A) Why did rents in Gràcia rise this year?

B) Should cars pay to enter the Eixample?

**C) Why is unemployment in Spain so high? ✓**

D) How many croissants should a bakery in Sants bake?

One market, one firm, one policy in one market: micro. The whole economy: macro.

## Problem 5 — Market failure, or the market working?

---

Which of these is *not* a market failure?

- A) A factory's smoke settles on the neighbours' washing
- B) The only ferry company to an island doubles its fares
- C) Strawberry prices double after a bad harvest
- D) A student's flu jab also protects her flatmates

## Problem 5 — Market failure, or the market working?

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D) A student's flu jab also protects her flatmates

C: scarcity, and the price says so · A: externality · B: market power · D: externality, a good one.

## Before Monday 28 September

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- Read Mankiw & Taylor, Ch. 17, pp. 367–380 — production possibilities, specialisation, comparative advantage
- And Ch. 20, pp. 437–438 — the circular flow
- No class next week — next class Monday 28 September, 10:00



[pakoinf@gmail.com](mailto:pakoinf@gmail.com) · [pkocourek.com/teaching/intro-economics](http://pkocourek.com/teaching/intro-economics)